

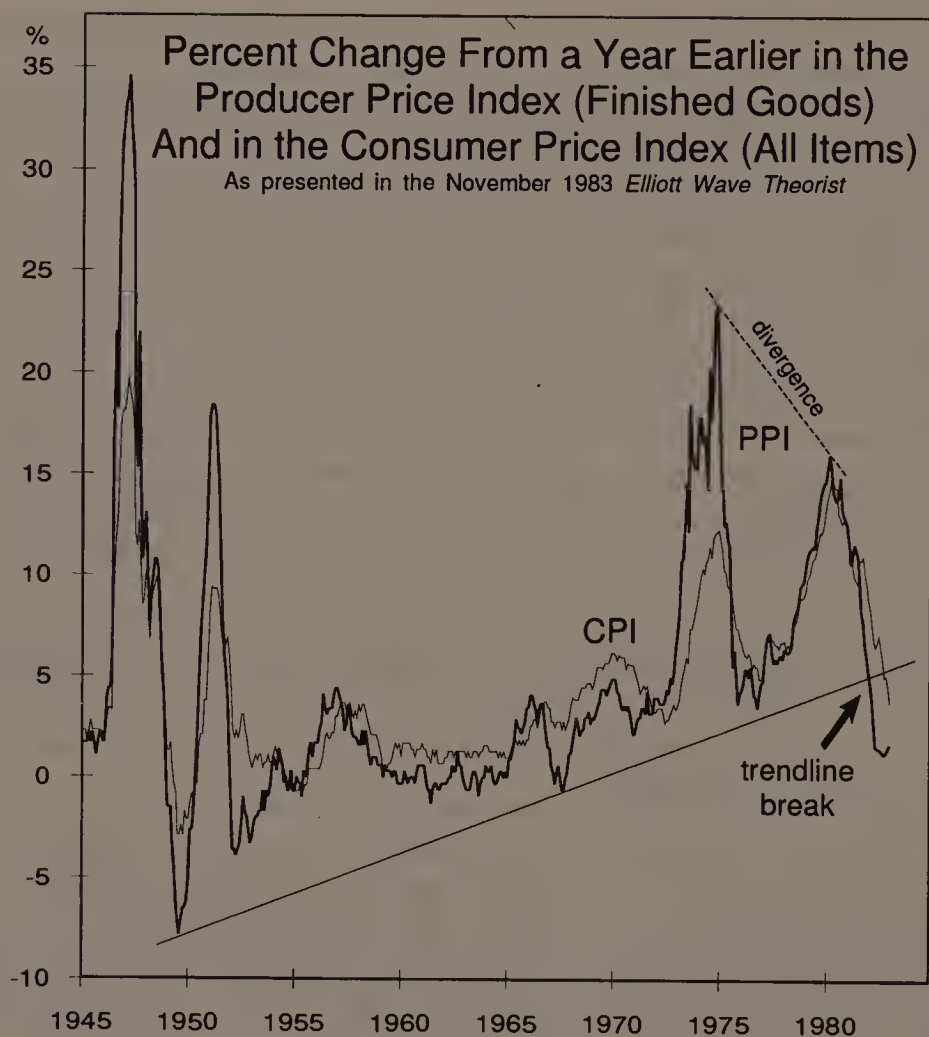


Figure 14-1

neath the long term uptrend line from 1949. That break...does seem to support the claim that there has been a change over the last three years that is larger than just a cyclical disinflation due to recession.

Figure 14-1 shows the divergence (see Chapter 9 for a full discussion of this term) between the peak rate of change in 1974 and that of 1980, indicating a reversal at hand, and the trendline break, confirming the large degree of the reversal. As the long period of disinflation since then has proved, the turn in 1980 was indeed of major degree.

Originally, *The Elliott Wave Theorist* expected the period of disinflation to last as briefly as five years. Circumstances developed to extend the time element, as described in Chapter 4. The disinfla-